BOARD STRATEGY MEMORANDUM

Zomato / Eternal Limited | Tier 3 India Expansion Strategy

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I. Introduction

Zomato (operating under Eternal Limited) has established itself as India's dominant food delivery platform, holding approximately 55–60% of food delivery Gross Order Value (GOV) in major metros. The company enters FY26 from a position of considerable financial strength: consolidated cash reserves of ₹18,824 crore, ₹7,630 crore in undeployed QIP capital, and a food delivery adjusted EBITDA of ₹1,505 crore — its strongest profitability profile to date.

India's online food delivery market is projected to grow from $9.1 billion in 2024 to approximately $27 billion by 2030 (19% CAGR), with the next phase of growth increasingly concentrated in Tier 2 and Tier 3 cities as digital adoption deepens. This memo evaluates the strategic case for Zomato to accelerate its expansion into Tier 3 India and presents a recommended course of action for the Board's consideration.

II. Problem Statement

Zomato's current geographic footprint is heavily concentrated in Tier 1 cities and select Tier 2 markets, leaving a significant and fast-growing demand pool underserved. The strategic question before the Board is not whether to enter Tier 3 markets — the demand signal is clear — but how aggressively and through what model, without compromising the consolidated EBITDA trajectory that the company has worked years to achieve.

Three structural tensions define this challenge:

- Unit economics risk: Average order values in Tier 3 cities are approximately 20% lower (₹308–340 vs. ₹385 metro NAOV), while last-mile delivery complexity and restaurant density constraints can erode margins during the ramp-up phase.
- Competitive urgency: Swiggy and ONDC-enabled platforms are actively expanding into Tier 2/3 geographies. Each quarter of inaction narrows Zomato's window to lock in restaurant partner relationships before competitors consolidate the supply side.
- Execution sequencing: A broad national rollout risks spreading operational resources too thin, producing low order density across many cities rather than critical mass in high-potential clusters.

III. Analysis

Market Opportunity

Tier 3 cities — defined as urban centres with populations between 3 and 10 lakh — represent a structurally underserved demand pool. Rising smartphone penetration, deepening internet access, and a growing aspirational middle class are accelerating food delivery adoption beyond metros. Zomato's own operating metrics support this thesis: average monthly transacting customers grew from 17 million in FY23 to 20.6 million in FY25, indicating continued headroom for organic growth driven by geographic penetration rather than purely metro frequency uplift.

The serviceable Tier 3 opportunity should be sized not at total population, but as the cluster of cities where demand density, restaurant supply, and platform affordability intersect to support viable unit economics from launch.

Financial Capacity

Zomato is better capitalized today than at any prior point in its history. With ₹18,824 crore in cash, ₹7,630 crore of undeployed QIP proceeds, and a food delivery contribution margin of 9.4% of NOV — up from 5.3% in FY23 — the company has the financial buffer to absorb new city ramp-up losses while preserving consolidated EBITDA. The estimated total cost to launch a new Tier 3 city (food delivery + one Blinkit dark store + 90-day marketing support) is approximately ₹1.5–3 crore, suggesting that even a 50-city Phase 1 rollout requires a capital outlay of only ₹75–150 crore — a fraction of available resources.

Structural Cost Advantage in Tier 3

Contrary to the assumption that smaller cities are inherently less profitable, the cost structure for Tier 3 operations is materially favorable: delivery costs run approximately 50% lower than metros due to shorter distances and simpler traffic conditions; customer acquisition costs (CAC) are near zero given Zomato's strong national brand recall; and Blinkit dark store real estate is 40–60% cheaper than equivalent metro properties. New cities have historically reached 1,000 orders per day within weeks of launch, enabling a rapid path to contribution-positive economics within 3–6 months.

Competitive Landscape

Swiggy remains the primary threat, with an established logistics stack and early Tier 2/3 presence. ONDC-enabled platforms pose a structural risk to commission economics by introducing price transparency and low-fee alternatives for restaurant partners. Amazon and Flipkart represent a latent threat via their existing logistics and payment ecosystems. Zomato's multi-vertical moat — combining food delivery, Blinkit quick commerce, Hyperpure B2B supply, and District dining — provides a differentiated value proposition that pure-play competitors cannot easily replicate.

IV. Recommendation

The Board is recommended to approve a phased, cluster-based Tier 3 expansion strategy across three fiscal years, structured as follows:

- **Phase 1 — Prove (FY26): Launch in 50 pilot cities selected via a scoring model (population 3–10 lakh, proximity to Tier 2 hub, active Hyperpure coverage, restaurant density). Deploy food delivery, one Blinkit dark store, and Hyperpure simultaneously in each city. Target: 800 orders per day per city within 90 days. Capital allocation: ₹500–750 crore from undeployed QIP proceeds.**
- **Phase 2 — Scale (FY27): Expand to 200 cities, adding a second dark store in Phase 1 cities that have crossed 1,500 orders per day. Introduce a Tier 3 Gold membership at ₹99–149 per month to drive order frequency and improve customer**

lifetime value. Capital allocation: ₹1,500–2,000 crore, funded by food delivery EBITDA and QIP.

- **Phase 3 — Dominate (FY28): Scale to 500+ Tier 3 cities, establishing Zomato as the default food and quick commerce platform in non-metro India. Target Tier 3 NOV contribution of 25–30% of total food delivery NOV. Capital allocation: ₹2,500–3,500 crore, majority self-funded from Tier 3 EBITDA.**

The critical enabling condition across all phases is restaurant supply preceding customer demand. The Hyperpure-first sequencing principle — ensuring active restaurant partners are onboarded before consumer-facing launch — must be treated as non-negotiable. A poor launch experience caused by inadequate supply-side density would permanently damage brand perception in markets that are otherwise highly receptive to the platform.

Zomato does not face a capital constraint, a cost constraint, or a brand constraint in Tier 3. The only genuine execution risk is order density at launch — addressed directly by the phased cluster model. The cost of inaction, measured as the permanent loss of Tier 3 restaurant partner relationships to Swiggy and ONDC, is substantially greater than the cost of a disciplined phased push.

V. Immediate Next Steps

- Build a city scoring model and rank top 50 Phase 1 cities within 30 days.
- Launch delivery partner pre-registration in top 50 cities with a 90-day guaranteed minimum earnings programme (approval within 45 days of city list finalisation).
- Execute Blinkit site scouting and lease agreements for 50 dark stores within 60 days of Board approval.
- Seek Board approval to earmark ₹500–750 crore from undeployed QIP proceeds for Phase 1, with an 18-month breakeven model and city-level P&L template to be presented at the next Board meeting.
